

CA INTERMEDIATE EXAMINATION

Paper 1: Advanced Accounting | November 2024

Time Allowed: 3 Hours | Maximum Marks: 100

Instructions: (1) This question paper consists of TWO parts — Part I (Compulsory) and Part II. (2) All questions in Part I are compulsory. (3) In Part II, attempt any FOUR questions out of SIX. (4) Working notes should form part of your answer.

PART I — COMPULSORY (40 Marks)

Question 1

The following is the Trial Balance of M/s Sharma & Sons as on 31st March 2024. Prepare the Trading and Profit & Loss Account for the year ended 31st March 2024 and a Balance Sheet as on that date after taking into account the adjustments given below.

[10 Marks]

Particulars	Debit (₹)	Credit (₹)
Opening Stock	85,000	
Purchases	4,20,000	
Sales		6,50,000
Salaries	72,000	
Rent & Rates	24,000	
Machinery	3,00,000	
Debtors	1,20,000	
Creditors		95,000
Cash at Bank	78,000	
Capital Account		3,54,000
Total	10,99,000	10,99,000

Adjustments:

- (i) Closing Stock as on 31st March 2024 was ₹1,15,000.
- (ii) Depreciate Machinery @ 10% per annum on cost.
- (iii) Salaries outstanding ₹8,000.
- (iv) Prepaid Rent ₹4,000.

Question 2

Answer the following:

[10 Marks]

- (a) Ram Ltd. acquired a machinery on 1st April 2022 for ₹5,00,000. The company charges depreciation @ 20% per annum under Written Down Value (WDV) method. On 1st October 2023, the machinery was sold for ₹2,80,000. Prepare the Machinery Account for two years. [5 Marks]
- (b) Explain the concept of 'Substance over Form' as per Accounting Standards and give two practical examples where this principle is applied in financial reporting. [5 Marks]

Question 3 (MCQ)

Which of the following is NOT a method of valuation of goodwill?

[2 Marks]

- (A) Super Profit Method
- (B) Capitalisation Method
- (C) Annuity Method
- (D) Net Realisable Value Method

Correct Answer: (D)

PART II — ATTEMPT ANY FOUR (60 Marks)

Question 4

X, Y and Z are partners sharing profits in the ratio 3:2:1. Their Balance Sheet as on 31st March 2024 was as follows. Z retires on that date. Prepare the Revaluation Account, Capital Accounts of partners, and the new Balance Sheet. **[15 Marks]**

Liabilities	■	Assets	■
Capital — X	1,50,000	Land & Building	2,00,000
Capital — Y	1,00,000	Machinery	1,20,000
Capital — Z	80,000	Stock	60,000
Creditors	95,000	Debtors	75,000
Reserve Fund	50,000	Cash & Bank	20,000
Total	4,75,000	Total	4,75,000

Additional information: (i) Land & Building to be appreciated by 10%. (ii) Machinery to be depreciated to ■1,00,000. (iii) Stock to be valued at ■55,000. (iv) Z's share of goodwill is ■24,000, to be adjusted through remaining partners' accounts.

Question 5

From the following information, prepare the Cash Flow Statement of ABC Ltd. for the year ended 31st March 2024 using the Indirect Method. **[15 Marks]**

Particulars	2024 (■)	2023 (■)
Net Profit before tax	3,20,000	2,60,000
Depreciation charged	40,000	35,000
Increase in Trade Debtors	(25,000)	(18,000)
Decrease in Inventories	12,000	(5,000)
Increase in Trade Creditors	18,000	10,000
Purchase of Fixed Assets	(1,50,000)	(80,000)
Proceeds from issue of shares	2,00,000	—
Repayment of Long-term loan	(50,000)	(40,000)
Tax paid	(80,000)	(65,000)

SUGGESTED ANSWERS

Answer 1 — Journal Entries for Adjustments

Date	Particulars	L.F.	Dr. (■)	Cr. (■)
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31/3/24	Profit & Loss A/c Dr. To Outstanding Salaries A/c (Being salaries outstanding)		8,000	8,000
31/3/24	Prepaid Rent A/c Dr. To Rent & Rates A/c (Being prepaid rent adjusted)		4,000	4,000
31/3/24	Depreciation A/c Dr. To Machinery A/c (Being depreciation @10% on ₹3,00,000)		30,000	30,000

Answer 2(a) — Machinery Account

Dr.			Cr.		
Date	Particulars	■	Date	Particulars	■
1/4/22	To Bank A/c (Cost)	5,00,000	31/3/23	By Dep. A/c (20%)	1,00,000
			31/3/23	By Balance c/d	4,00,000
	Total	5,00,000		Total	5,00,000
1/4/23	To Balance b/d	4,00,000	1/10/23	By Dep. A/c (6m)	40,000
			1/10/23	By Bank A/c (Sale)	2,80,000
			1/10/23	By P&L (Loss)	80,000
	Total	4,00,000		Total	4,00,000